NorthPeak Logistics Inc.

Quarterly Shareholder Report — First Quarter, Fiscal Year 2026 (January–March 2026)

Financial Highlights

Revenue for the quarter was $412 million, an increase of 2.1% over the previous quarter. Net income was $31 million, representing a net margin of 7.5%.

Operating cash flow remained strong at $58 million, and the company ended the quarter with $194 million in cash and equivalents.

Revenue Performance

Growth this quarter was driven primarily by the cross-border freight segment, which expanded 6.8% as new trade lanes between Toronto and Chicago came online. The domestic parcel segment was flat, reflecting seasonal softness after the holiday peak.

Contract logistics revenue declined 1.2%, as two warehouse clients completed previously announced insourcing transitions.

Margins and Costs

Gross margin compressed by 40 basis points, driven by higher fuel costs and a one-time fleet maintenance program affecting roughly 9% of the trailer fleet. Management expects the maintenance program to conclude next quarter.

Outlook

For the next quarter, management is guiding to revenue growth of 3% to 4%, supported by the full-quarter contribution of the new trade lanes and the launch of a same-day delivery pilot in three metropolitan areas.

Principal Risks

The most significant risk this quarter remains diesel price volatility. A sustained 10% increase in fuel costs would reduce operating margin by an estimated 70 basis points if surcharge mechanisms lag, as they did in 2024.